

Estate Taxes

Your estate consists of everything you own, from real estate to jewelry, stocks and bonds, life insurance policies, bank accounts, a business, 401(k) funds, and other items of value. When you die, everything you leave to your surviving spouse is transferred tax-free. You're allowed to transfer a certain amount as gifts to others tax-free during your lifetime and let your estate use the balance of the credit after your death.



The beneficiaries that you list on your retirement accounts and other assets supersede the instructions in your will. Your will only applies to assets left over after beneficiary designations are processed. If there happens to be a conflict between your beneficiary forms and your will, the beneficiary designations will overpower the will.

The amount you can transfer without incurring a tax liability is determined by the applicable exclusion amount, which in 2012, allows you to transfer \$5 million tax-free in addition to the unlimited amount you could leave your spouse or to qualified charities. Furthermore, any of the \$5 million unused by one spouse could be added to the surviving spouse's \$5 million. This concept is known as portability. For instance, if you leave your entire estate to your spouse, you did not use any of your \$5 million. Therefore your spouse can leave up to \$10 million free of federal estate tax. However, most states have their own estate tax system that exempts much lower amounts and has no portability feature. Please note that federal estate tax laws currently in place are due to expire at the end of 2012.